

27 Accepting risk

4 primary questions | Oldest to newest

2026 objectives: 3.2.5, 4.7.1-4.7.3

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2017 Q4	11 marks
CA1-P1 September 2018 spare Q7	19 marks
CP1-P1 April 2022 Q9	21 marks
CP1-P1 September 2022 Q8	9 marks

CA1-P1 | September 2017 | Q4

Current topic | 11 marks total | Original PDF p3

Examiner report and original paper: use the links for this question in [index.html](#).

- 4**
- (i) Outline the principal reason why groups of individuals may wish to pool risk events that they are exposed to. [2]
 - (ii) State the ideal criteria to be met before an insurance company would be willing to provide insurance protection for risk events. [3]

The government of a developed country is increasing its use of nuclear power plants. These plants are owned and operated directly by the government. The government's objective is that nuclear power plants will provide a significant proportion of the country's energy needs.

The government is considering possible ways of covering the potential costs arising from incidents at its nuclear plants.

- (iii) Discuss how effective insurance or other risk pooling approaches might be in covering these costs. [6]
- [Total 11]

CA1-P1 | September 2018 spare | Q7

Current topic | 19 marks total | Original PDF p3

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 26.

- 7** (i) Outline the criteria needed for a risk to be insurable. [3]

A set of friends have decided to group together to cover their home contents insurance. Rather than using an insurance company they each pay a premium into a central pool and any claims will be paid from this pool.

- (ii) Discuss the potential benefits of this arrangement. [4]

- (iii) Describe the main risks and mitigations associated with this arrangement. [6]

- (iv) Outline how the friends could make similar arrangements to cover the following insurance risks together with any potential problems:

- (a) Motor insurance;
- (b) Term assurance to cover a mortgage;
- (c) Travel insurance.

[6]

[Total 19]

CP1-P1 | April 2022 | Q9

Current topic | 21 marks total | Original PDF p4

Related: Ch 30.

- 9** A credit union is a non-profit financial organisation that is set up and owned by its members who share a common membership characteristic – for example, members who live in the same location or who work in the same profession.

The members of credit union GG all live in a particular city. GG offers savings and loans to its members.

- (i) Explain how the principle of pooling risks will apply to the loans GG offers. [3]

- (ii) Describe how the methods of risk acceptance, rejection, transfer and management can be used by GG to manage the loans it offers. [5]

Due to exceptional circumstances affecting some of its members, GG has decided to allow all members access to a loan of up to £500. Loans will be automatically granted to all members who apply within a fixed time period.

- (iii) Suggest reasons why GG might have decided to offer these exceptional loans. [4]

- (iv) Explain potential problems GG may have, relating to these exceptional loans. [2]

- (v) Discuss how the problems identified in part (iv) could be mitigated. [3]

- (vi) Discuss how your answer to part (iv) may differ if GG was formed of members with a common profession, rather than of members who live in the same city. [4]

[Total 21]

CP1-P1 | September 2022 | Q8

Current topic | 9 marks total | Original PDF p3

Related: Ch 37.

- 8** (i) Explain how the principles of pooling risk are applied in the business of motor insurance. [4]

A company selling motor insurance has recently moved into insuring very high-value cars. They have noticed that this book of business has been less profitable than their standard business.

- (ii) Suggest reasons why this book of business may be less profitable. [2]
- (iii) Outline how the company may make changes to increase the profitability of this book of business. [3]

[Total 9]